



Statement of Issues

14 August 2025

MicroStar Logistics – Proposed Acquisition of Konvoy

Purpose

1. Kegstar Pty Limited (**Kegstar**), a wholly owned subsidiary of MicroStar Logistics LLC (**MicroStar**), proposes to acquire the following Australian assets of Konvoy Holdings Pty Limited (**Konvoy**), which is in administration and receivership:
 - kegs,
 - keg tracking technology hardware and software (known as 'Katch'),
 - select employees,
 - a keg repair and maintenance facility, which includes a property lease located in Dandenong South, Victoria, and
 - other ancillary assets(the **Proposed Acquisition**).
2. This Statement of Issues:
 - gives the Australian Competition and Consumer Commission's (**ACCC**) preliminary views on competition issues arising from the Proposed Acquisition,
 - identifies areas of further inquiry, and
 - invites interested parties to submit comments and information to assist our assessment of the issues.
3. Statements of Issues do not refer to confidential information provided by the parties or other market participants and therefore may not fully articulate the ACCC's preliminary position.

Overview of ACCC's preliminary views

4. In considering the Proposed Acquisition, the ACCC applies the legal test set out in section 50 of the *Competition and Consumer Act 2010* (the **CCA**). In general terms, section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.
5. The ACCC divides its preliminary views into three categories, 'issues of concern', 'issues that may raise concerns' and 'issues unlikely to raise concerns'. In this Statement of Issues there is one issue of concern.

Issue of concern – unilateral effects in the supply of Keg Pooling Services

6. The ACCC's preliminary view is that the Proposed Acquisition would be likely to have the effect of substantially lessening competition in the supply of Keg Pooling Services¹ in Australia.
7. Kegstar and Konvoy both supply Keg Pooling Services to various customers in Australia. Kegstar and Konvoy are the only two suppliers of Keg Pooling Services, and the ACCC considers that they are likely to be each other's closest competitor. Market feedback indicates that Konvoy currently provides a strong and effective constraint on Kegstar.
8. The ACCC is concerned that post-acquisition, Kegstar would be able to sustainably raise prices, or otherwise reduce service quality, relative to the counterfactual in which the assets of Konvoy are acquired by another party that continues to provide Keg Pooling Services in Australia.

Making a submission

9. The ACCC invites submissions from interested parties, particularly on the following key issues:
 - how closely Kegstar and Konvoy compete to supply Keg Pooling Services in Australia,
 - the ability of customers to switch from using the services provided by Kegstar and Konvoy to alternative methods of supplying their kegged alcoholic beverages to licensed venues (including owning or leasing a fleet of kegs, using plastic kegs, or canning and bottling), and
 - the likely impact of the Proposed Acquisition on prices, quality and/or service levels for Keg Pooling Services in Australia.
10. Interested parties should provide submissions by 5pm on 28 August 2025. Responses may be emailed to mergers@accc.gov.au with the title: 'Submission re: MicroStar/Konvoy'. If you would like to discuss the matter with ACCC staff or

¹ Keg Pooling Services refers to a service in which customers can rent a keg for a single fill. When the keg is emptied, the empty keg is then collected by the keg rental company, which can then rent the keg out to another customer.

have any questions about this Statement of Issues, please contact mergers@accc.gov.au.

11. The ACCC anticipates making a final decision on 9 October 2025 however, this timeline can change. To keep up with possible timing changes and to find relevant documents, interested parties should visit the Mergers Register on the ACCC's website at www.accc.gov.au/publicregisters/mergers-registers/public-informal-merger-reviews.

Confidentiality of submissions

12. The ACCC will not publish submissions regarding the Proposed Acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, please identify any confidential information that is provided to the ACCC. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

About ACCC 'Statements of Issues'

13. A Statement of Issues is not a final decision about a proposed acquisition. A Statement of Issues outlines the ACCC's preliminary views and identifies further lines of inquiry.
14. A Statement of Issues provides an opportunity for all interested parties (including customers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

The parties

The acquirer: MicroStar and Kegstar

15. MicroStar is a keg services company incorporated in the United States and has operations in the UK, Europe, Australia and New Zealand.
16. In Australia, MicroStar operates under the name Kegstar, after having acquired the Kegstar business from Brambles Limited in 2021. Kegstar offers Keg Pooling Services to various customers in Australia. It also offers keg leasing to some customers in Australia.

The target: Konvoy

17. Konvoy operates a keg services business in Australia and New Zealand. Konvoy offers Keg Pooling Services to customers in Australia. It also offers keg leasing to some customers in Australia.

18. Konvoy has developed a tracking technology, known as Katch, which it uses to track the location and temperature of its kegs. Some of its kegs are not fitted with tracking beacons and so are not tracked by Katch.
19. Konvoy is in voluntary administration and receivership. On 11 March 2025, FTI Consulting and McGrathNicol were appointed, respectively, as the administrators and receivers of Konvoy. McGrathNicol undertook the sale process of Konvoy's assets.

Industry background

20. In Australia, beer and cider are mostly sold through two major channels, being:
 - 'on-premise', which includes the sale of 'kegged alcoholic beverages' through taps and 'packaged alcoholic beverages' in bottles and cans for consumption in licensed venues, and
 - 'retail', where 'packaged alcoholic beverages' are sold in retail stores.
21. Producers seeking to have their alcoholic beverages served on tap in licensed venues supply venues with filled kegs. A standard keg is made from stainless steel, has a capacity of 50L, is reuseable and can be stacked for easy storage.
22. While kegs can come in other sizes and in different materials, the ACCC understands that these kegs generally have specific use cases. For example, producers may use single-use plastic kegs when exporting alcoholic beverages as these are generally not reusable and do not need to be returned.
23. Producers using standard stainless-steel kegs have certain universal requirements. They must access empty kegs, fill those kegs with alcoholic beverages, then send the kegged alcoholic beverages to licensed venues. Once a standard stainless-steel keg has been emptied at a licensed venue, the keg must be collected.
24. There are key differences in the collection of the kegs and ownership models:
 - a. producers may own or lease a fleet of kegs for multiple uses, then arrange for the collection of these kegs (keg ownership and/or leasing), or
 - b. producers may rent a keg for a single fill; the keg rental company then collects the empty keg and can rent it out again (**Keg Pooling Services**).
25. In both of the above scenarios, producers are responsible for delivering kegged alcoholic beverages to licensed venues.

Keg Pooling Services

26. Kegstar and Konvoy both offer Keg Pooling Services. Keg Pooling Services enable customers to rent kegs on a short-term basis, from a shared pool of kegs.
27. Customers order empty kegs that are owned by Keg Pooling Service providers for delivery to their production facilities and subsequently fill them. Customers are responsible for transporting these kegs to licensed venues.

28. Keg Pooling Service providers arrange the collection of emptied kegs from licensed venues and typically deliver them to warehouses to repair and store for future delivery to customers' production facilities. They are not necessarily delivered back to the original customer.
29. Keg Pooling Service providers manage their fleets of keg assets. This involves maintaining a suitably sized fleet of kegs, optimising the transport of empty kegs from licensed venues to warehouses, and ensuring the availability of empty kegs for delivery to customers when needed.

Keg ownership and/or leasing

30. An alternative to Keg Pooling Services is for customers to operate their own fleet. There are two ways customers can do this, either by owning their own kegs or leasing kegs.
31. Some producers in Australia own large fleets of kegs, although the ACCC understands that keg ownership is predominantly limited to the larger conglomerates such as Lion (Kirin) and CUB (Asahi), and the large independent Coopers. Based on our investigation to date, it does not appear that small to medium independent breweries are likely to own or operate their own fleets.
32. In addition to Keg Pooling Services, Kegstar and Konvoy both offer keg leasing, in which customers take possession of a keg for an agreed period and pay fees over the course of the lease term.
33. Unlike Keg Pooling customers, producers of kegged alcoholic beverages that operate their own fleets must organise for the return of the emptied kegs, either using their own in-house logistics solutions or outsourcing to third party logistics providers, and repair and store them until ready to be refilled.
34. The ACCC understands that customers generally prefer Keg Pooling Services over keg leasing because of the convenience associated with the Keg Pooling Service offering.
35. Keg leasing services are a small component of the total keg services supplied by both Kegstar and Konvoy and there are no other prominent providers of keg leasing in Australia. While some other companies may offer keg leasing as a service, their kegs tend to be bespoke or otherwise of non-standard size.

The Proposed Acquisition

36. On 20 June 2025, an Asset Sale Agreement was signed, pursuant to which Kegstar (with MicroStar acting as Guarantor) proposes to acquire the following assets from Konvoy:
 - kegs,
 - keg tracking technology hardware and software (known as 'Katch'),
 - select employees,

- a keg repair and maintenance facility, which includes a property lease located in Dandenong South, Victoria, and
 - other ancillary assets.
37. The ACCC notes that the Proposed Acquisition, and this Statement of Issues, relates only to the sale of Konvoy's Australian assets.

Future with and without the acquisition

38. In assessing a proposed acquisition under section 50 of the CCA, the ACCC considers the effects of the acquisition by comparing the likely future state of competition if the acquisition proceeds (the 'with' position) to the likely future state of competition if the acquisition does not proceed (the 'without' position) to determine whether the proposed acquisition is likely to substantially lessen competition in any relevant market.
39. As outlined in paragraph 19 above, McGrathNicol undertook a competitive sale process in which a number of parties expressed interest in purchasing Konvoy's assets.
40. Based on the information currently available, the ACCC's preliminary view is that in the absence of the Proposed Acquisition, Konvoy's assets would likely be sold to an alternate purchaser, and that purchaser would utilise those assets by operating a business that offers services including Keg Pooling Services.

Overlap and potentially relevant markets

Product dimension

41. The ACCC has not yet reached a view on market definition.
42. The ACCC considers that the primary area of competitive overlap between Kegstar and Konvoy is in the supply of Keg Pooling Services where they are the only two suppliers of these services in Australia. Customers of Keg Pooling Services are kegged alcoholic beverage producers seeking to have their beverages served on tap in licensed venues.
43. Kegstar and Konvoy also both offer keg leasing, which the ACCC does not consider to be a close substitute for Keg Pooling Services.
44. The ACCC considers that the key difference between keg pooling and keg leasing is that keg leasing customers are required to organise for the return logistics of their kegs. This is an important difference for the majority of keg pooling customers, as it means they do not need to dedicate any resources to keg return logistics.
45. Leasing comprises a small part of Kegstar and Konvoy's total supply of keg services and is generally only used by producers who have their own licensed venue and can re-use kegs on site accordingly.

46. While other companies may offer keg leasing services, because of the lack of demand, these companies will usually offer keg leasing as a secondary service, alongside its primary product offering, for customers who specifically request it. Many kegs that are leased will display the customer's branding or be of a non-standard size, and these types of kegs are not usually available through Keg Pooling Services.
47. The ACCC is therefore of the view that the supply of Keg Pooling Services is likely to form a distinct market.

Geographic Dimension

48. The ACCC understands that Keg Pooling Services are available from both Kegstar and Konvoy at a national level. The ACCC's preliminary view is that it is appropriate to consider the competitive effects of the Proposed Acquisition on an Australia-wide basis.
49. The ACCC is continuing to consider the scope of the relevant markets but has focused its review on the impact of the Proposed Acquisition on competition for the supply of Keg Pooling Services in Australia.

Questions for Market Participants

The ACCC invites comments from market participants on its preliminary views about the definition of the relevant market(s). In particular, market participants may wish to comment on:

- whether producers of keged alcoholic beverages can change the packaging of their products to bottles or cans instead of kegs for sale in licensed venues
- whether a supplier of keg logistics services is likely to purchase a keg fleet to supply Keg Pooling Services
- what capital and other costs would be required by a keg logistics services provider to offer Keg Pooling Services (for example, purchasing a fleet of kegs, staffing or leasing a storage facility), and
- the costs for maintaining a fleet of kegs, including collection and servicing costs.

Issue of concern: Unilateral effects in the supply of Keg Pooling Services

50. The ACCC's preliminary view is that the Proposed Acquisition would be likely to substantially lessen competition in the supply of Keg Pooling Services by removing Konvoy as an effective competitor to Kegstar, relative to the counterfactual in which the assets of Konvoy are acquired by another party that continues to provide Keg Pooling Services in Australia.
51. Kegstar and Konvoy are the only two suppliers of Keg Pooling Services in Australia, and the ACCC considers that they are likely to be each other's closest competitor. The ACCC also considers that Konvoy currently provides a strong and effective constraint on Kegstar.

52. The ACCC is concerned that, post-acquisition, Kegstar would not be effectively constrained from raising prices or reducing service quality. Kegstar would likely be more effectively constrained if Konvoy's assets were operated by another party in competition with Kegstar.

Entry or expansion by rivals

53. Entry, or expansion, by rivals can remedy competition concerns if it is simultaneously likely, timely and sufficient in extent to provide an effective constraint on the merged firm.
54. The ACCC's preliminary view is that the likelihood of timely and sufficient entry, or expansion, in this market is low in the short-term. The ACCC considers that any entrant would need to invest in a substantial keg fleet and supporting logistics network to compete effectively with Kegstar's national presence.
55. This upfront investment would limit an entrant's ability to enter incrementally as demand for its services grow. The likely low return on investment in any transitional phase to build scale further reduces the likelihood of entry or expansion.

Producers' ability to self-supply

56. The credible threat of customers profitably bypassing a merged firm can constrain any attempted exercise of market power by the merged firm. This could include a customer choosing to self-supply instead of obtaining services from a merged firm.
57. Independent producers that supply kegged alcoholic beverages only to licensed venues close to their production facilities may be able to sustainably self-supply and manage their own keg fleet, due to a smaller keg footprint and therefore relatively lower cost of retrieving kegs.
58. However, the ACCC considers that independent producers supplying kegged alcoholic beverages beyond their local area are likely to be reliant on Keg Pooling Services. They would be unlikely to self-supply and manage their keg needs as they would face the following challenges:
- the need to obtain necessary capital to purchase (or lease) and logistically support (storage) a suitable fleet of kegs, noting that producers will require a sufficient quantity of kegs to meet demand while waiting for the return of empty kegs from licensed venues,
 - the need to retrieve their kegs across a wide geographic footprint, which would likely require investment in asset management and logistics management capabilities,
 - monitoring when to collect empty kegs to minimise collection costs (even if they utilise third party logistics service to do the collection of the empty kegs on their behalf), and
 - ensuring they have enough empty kegs available for the next production batch, factoring in greater delays to retrieving empty kegs that are more dispersed across greater distances from their production facilities.

Questions for Market Participants

The ACCC invites comments from market participants on its concerns in relation to its preliminary views regarding the competitive effects of the Proposed Acquisition. In particular, market participants may wish to comment on the following:

- the closeness of competition between Kegstar and Konvoy, including examples of where a customer has sought quotes from both and how they compared
- examples of switching between Kegstar and Konvoy, or any other provider, and any factors that may have made it difficult to switch (i.e., contract terms and conditions)
- whether customers have considered keg leasing or the ownership of kegs, in conjunction with self-supply/use of a third-party logistics solution. Please provide examples where possible, including of any business case, the costs involved and how it compared with using Keg Pooling Services. Please also explain how this consideration might be different for producers with a small and local customer base, a producer with many and distant customers, and for very large producers of kegged alcoholic beverages, and
- any examples of entry/attempted entry of new Keg Pooling Service providers. Please comment on any potential difficulties a new entrant may face when trying to win business from Kegstar post-acquisition.

ACCC's future steps

59. As noted above, the ACCC invites submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter. Submissions should be emailed to mergers@accc.gov.au by no later than 31 August 2025.
60. The ACCC will finalise its view on this matter after it considers submissions invited by this Statement of Issues.
61. The ACCC intends to publicly announce its final view by 9 October 2025. However, the anticipated timeline may change in line with the *Informal Merger Review Process Guidelines*. A Public Competition Assessment explaining the ACCC's final view may be published following the ACCC's public announcement.